Lecture 3

E-commerce Business Models and Concepts

Class Discussion

Tweet Tweet: Twitter's Business Model

- What characteristics or benchmarks can be used to assess the business value of a company such as Twitter?
- Have you used Twitter to communicate with friends or family? What are your thoughts on this service?
- What are Twitter's most important assets?
- What methods do you think can be used methods described for monetizing Twitter's assets?

E-commerce Business Models

- **Business model**
  - Set of planned activities designed to result in a profit in a marketplace
  - *a plan for the successful operation of a business,*
    - *identifying sources of revenue,*
    - *the intended customer base,*
    - *Products and*
    - *details of financing*
- **Business plan**
  - Describes a firm's business model
  - *is a written description of your business's future, a document that tells what you plan to do and how you plan to do it.*
- **E-commerce business model**
  - Uses/leverages unique qualities of Internet and Web

E-COMMERCE BUSINESS MODELS

GROUP- 5, M2



Examples of business Model

- **The Affiliate model**
  - An affiliate is simply someone who helps sell a product in return for commission. However they may never actually take ownership of the product (or even handle it). They simply get rewarded for referring customers to a retailer when they make a sale. Again this business model has been a huge success given the ease with which the Internet facilitates it.
- **The Auction model**
  - The auction model is synonymous with eBay, these days, but of course auctions have existed for hundreds and hundreds of years.
  - characteristics:
    - the price of the good is not fixed; each individual assesses the value of the good independently;
    - final value is determined via competitive bids.
    - This business model has become very popular in recent years as the Internet has helped to broaden its appeal.
- **The Advertising model**
  - Some Internet businesses derive revenue predominantly as a result of being able to offer advertisers access to highly targeted consumer niches (often in the absence of revenue from selling their goods or services). So if your website is about a narrowly defined topic, it is likely to attract a highly defined niche audience who could be offered complimentary products or services with a higher probability of success than blanket mass market

Examples of business model

Type of Model	Example Companies and Products
Cheap chic	Target, Trader Joe's, IKEA
Bricks and clicks	BestBuy.com, local mystery book store with online shop
Multilevel marketing	Avon, Mary Kay, Amway
Franchise	KFC, Café Deli, McDonald's, Holiday Inn,

Business model

Bricks and Clicks Model

- A bricks and clicks business model (or sometimes called clicks and bricks) is one where a company conducts business both offline and online. Offline refers to doing business in person, such as having store locations or buildings; so this is where the "bricks" part of the title comes from. The word "clicks" relates to the clicking of a computer for online purchases and transactions. According to a December 2001 article on E-Commerce Times (a website for business and e-businesses), the bricks and clicks business model has many advantages. For one, it allows companies to benefit from doing online commerce that can reach a vast consumer population. Additionally, the article on E-Commerce points out that consumers are happy with the efficiency and flexibility involved with online purchases, so this business method gives companies a competitive advantage.

Bait and Hook Model

- The bait and hook business model (also called razor and blades business model) is founded on the premise that a company can stimulate consumer excitement and interest by giving away freebies, or offering low prices on products. The goal of this model is to generate more profit through making products seem appealing (baiting) and then "hooking" the customers into liking your products or services so that they keep coming back for more. According to Investopedia (a website for investment and business concepts), this business model is not intended to give away freebies each time a customer returns. Rather, the tactic here involves offering low prices on one type of good, while considerably marking up the price of another. This is supposed to create an illusion to the customer that they are getting a bargain, but is a way for businesses to make a profit.

Subscription Business Model

- Subscription business model is where a company charges you a fixed monthly or annual fee that gives you access to their goods and services. Magazine companies, cell phone carriers and ISP Internet providers are common businesses that employ subscription business models. Some subscription businesses require customers to prepare for their monthly or annual membership fees, which can be beneficial to the company because it guarantees a profit upfront.

E COMMERCE B/S MODEL

- **E-commerce business model**
  - *Uses/leverages unique qualities of Internet and Web*

- **E-Commerce or Electronics Commerce business models can generally categorized in following categories.**
  - Business - to - Business (B2B)
  - Business - to - Consumer (B2C)
  - Consumer - to - Consumer (C2C)
  - Consumer - to - Business (C2B)
  - Business - to - Government (B2G)
  - Government - to - Business (G2B)
  - Government - to - Citizen (G2C)
  - Business - to - Business (B2B)

Eight Key Elements of a Business Model

1. Value proposition
2. Revenue model
3. Market opportunity
4. Competitive environment
5. Competitive advantage
6. Market strategy
7. Organizational development
8. Management team

1. Value Proposition

- **"Why should the customer buy from you?"**
- **Successful e-commerce value propositions:**
  - Personalization/customization
  - Reduction of product search, price discovery costs
  - Facilitation of transactions by managing product delivery

2. Revenue Model

- **"How will you earn money?"**
- **Major types of revenue models:**
  - Advertising revenue model
  - Subscription revenue model
  - Transaction fee revenue model
  - Sales revenue model
  - Affiliate revenue model

Foursquare:

- **What revenue model does Foursquare use? What other revenue models might be appropriate?**
- **Are privacy concerns the only shortcoming of location-based mobile services?**
- **Should business firms be allowed to call cell phones with advertising messages based on location?**

3. Market Opportunity

- **"What marketspace do you intend to serve and what is its size?"**
  - Marketspace: Area of actual or potential commercial value in which company intends to operate
  - Realistic market opportunity: Defined by revenue potential in each market niche in which company hopes to compete
- **Market opportunity typically divided into smaller niches**

4. Competitive Environment

- **"Who else occupies your intended marketspace?"**
  - Other companies selling similar products in the same marketspace
  - Includes both direct and indirect competitors
- **Influenced by:**
  - Number and size of active competitors
  - Each competitor's market share
  - Competitors' profitability
  - Competitors' pricing

5. Competitive Advantage

- **"What special advantages does your firm bring to the marketspace?"**
  - Is your product superior to or cheaper to produce than your competitors' ?
- **Important concepts:**
  - Asymmetries :-more information than others
  - First-mover advantage, complementary resources
  - Unfair competitive advantage
  - Leverage
  - Perfect markets-there are asymmetries and competive advantages

6. Market Strategy

- **"How do you plan to promote your products or services to attract your target audience?"**
  - Details how a company intends to enter market and attract customers
  - Best business concepts will fail if not properly marketed to potential customers

7. Organizational Development

- **"What types of organizational structures within the firm are necessary to carry out the business plan?"**
- **Describes how firm will organize work**
  - Typically, divided into functional departments
  - As company grows, hiring moves from generalists to specialists

8. Management Team

- **"What kind of backgrounds should the company's leaders have?"**
- **A strong management team:**
  - Can make the business model work
  - Can give credibility to outside investors
  - Has market-specific knowledge
  - Has experience in implementing business plans

Raising Capital

1. Seed capital/see money/seed funding

- *is a form of securities offering in which an investor invests capital in exchange for an equity stake in the company*
- innovative and friendly financial institution dedicated to providing credit, investment, insurance and financial advisory products to Micro, Small &Medium Enterprises Traditional sources
- is the initial capital used when starting a business, often coming from the founders' personal assets, friends or family, for covering initial operating expenses and attracting venture capitalist.

2. Incubators-an incubator is an enterprise that is set up to provide office space, equipment, and sometimes mentoring assistance and capital to new **businesses** that are just getting started.

3.Commercial banks

4.Angel investors-

- An *investor* who provides financial backing for small startups or entrepreneurs

5. Venture capital firms-

An investor who either provides capital to startup ventures or supports small companies that wish to expand but do not have access to public funding

Raising Capital

6. Strategic partners-

A strategic partnership is a formal alliance between two commercial enterprises, usually formalized by one or more business contracts but falls short of forming a legal **partnership** or, agency, or corporate affiliate relationship.

7 Crowdfunding

- the practice of funding a project or venture by raising many small amounts of money from a large number of people, typically via the Internet.

Crowdfunding Takes Off

- **What types of projects and companies might be able to most successfully use Crowdfunding?**
- **Are there any negative aspects to crowdfunding?**
- **What obstacles are presented in the use of crowdfunding as a method to fund start-ups?**

Categorizing E-commerce Business Models

- **No one correct way**
- **Lecture categorizes according to:**
  - E-commerce sector (e.g., B2B)
  - E-commerce technology (e.g., m-commerce)
- **Similar business models appear in more than one sector**
- **Some companies use multiple business models**
    - Business - to - Business (B2B)
    - Business - to - Consumer (B2C)
    - Consumer - to - Consumer (C2C)
    - Consumer - to - Business (C2B)
    - Business - to - Government (B2G)
    - Government - to - Business (G2B)
    - Government - to - Citizen (G2C)
    - Business - to - Business (B2B)

a dedicated website or other application which enables users to co

B2C Business Models

- **E-tailer(electronic retailing):-*a retailer selling goods via electronic transactions* on the Internet.**
  - Online shopping is a form of electronic commerce which allows consumers to directly buy goods or service from a seller over the Internet using a web browser.
    - Consumers find a product of interest by visiting the website of the retailer directly or by searching among alternative vendors using a shopping search engine, which displays the same product's availability and pricing at different e-retailers.
    - As of today customers can shop online using a range of different computers and devices, including desktop computers, laptops, tablet computers and smartphones
- **Community provider (social network)**
  - a network of social interactions and personal relationships.
  - a dedicated website or other application which enables users to communicate with each other by posting information, comments, messages, images, etc
  - *Social networking* can occur for *social* purposes, business purposes or both through sites such as Facebook, Twitter, LinkedIn, Classmates.com and Yelp.

B2C Business Models

- Content Provider
- Portal
- Transaction broker
- Market creator
- Service provider

B2C Models: E-tailer

- **Online version of traditional retailer**
- **Revenue model: Sales**
- **Variations:**
  - **Virtual merchant**
    - Key ***Merchant* Services** offers multiple ways to process and manage credit card transactions from any computer with an internet connection and a web browser
  - **Bricks-and-clicks** :
    - A business that has not just a physical or online location, but has both a retail outlet as well as a website that is enabled for ecommerce.
    - is a jargon term for a business model by which a company integrates both offline (*bricks*) and online (*clicks*) presences, sometimes with the third extra flips (physical catalogs).
  - **Catalog merchant:-**is a form of retailing. The typical **merchant** sells a wide variety of household and personal products, with many emphasizing jewelry
  - **Manufacturer-direct -refers to a business model** in which the manufacturer sells its goods directly to the end user of the product.
- **Low barriers to entry**

B2C Models: Community Provider

- **Provide online environment (social network) where people with similar interests can transact, share content, and communicate**
  - Examples: Facebook, LinkedIn, Twitter, Pinterest
- **Revenue models:**
  - Typically hybrid, combining advertising, subscriptions, sales, transaction fees, and so on

B2C Models: Content Provider

- **Digital content on the Web:**
  - News, music, video, text, artwork
- **Revenue models:**
  - Subscription; pay per download (micropayment); advertising; affiliate referral

Battle of the Titans: Music in the Cloud

- **Have you purchased music online or subscribed to a music service? What was your experience?**
- **What revenue models do cloud music services use?**
- **Do cloud music services provide a clear advantage over download and subscription services?**
- **Of the cloud services from Google, Amazon, and Apple, which would you prefer to use, and why?**

B2C Business Models: Portal

- **Search plus an integrated package of content and services**
- **Revenue models:**
  - Advertising, referral fees, transaction fees, subscriptions
- **Variations:**
  - Horizontal/general
  - Vertical/specialized (portal)
  - Search

B2C Models: Transaction Broker

- **Process online transactions for consumers**
  - Primary value proposition—saving time and money
- **Revenue model:**
  - Transaction fees
- **Industries using this model:**
  - Financial services
  - Travel services
  - Job placement services

B2C Models: Market Creator

- **Create digital environment where buyers and sellers can meet and transact**
- **Examples:**
  - Priceline
  - eBay
- **Revenue model:** Transaction fees, fees to merchants for access

B2C Models: Service Provider

- **Online services**
  - Example: Google—Google Maps, Gmail, and so on
- **Value proposition**
  - Valuable, convenient, time-saving, low-cost alternatives to traditional service providers
- **Revenue models:**
  - Sales of services, subscription fees, advertising, sales of marketing data

B2B Business Models

- **Net marketplaces**
  - E-distributor
  - E-procurement
  - Exchange
  - Industry consortium
- **Private industrial network**

B2B Models: E-distributor

- **Version of retail and wholesale store, and indirect goods**
- **Owned by one company seeking to serve many customers**
- **Revenue model:** Sales of goods
- **Example:** Grainger.com

B2B Models: E-procurement

- **Creates digital markets where participants transact for indirect goods**
  - B2B service providers, application service providers (ASPs)
- **Revenue model:**
  - Service fees, supply-chain management, fulfillment services
- **Example:** Ariba

B2B Models: Exchanges

- **Independently owned vertical digital marketplace for direct inputs**
- **Revenue model:** Transaction, commission fees
- **Create powerful competition between suppliers**
- **Tend to force suppliers into powerful price competition; number of exchanges has dropped dramatically**

B2B Models: Industry Consortia

- **Industry-owned vertical digital marketplace open to select suppliers**
- **More successful than exchanges**
  - Sponsored by powerful industry players
  - Strengthen traditional purchasing behavior
- **Revenue model:** Transaction, commission fees
  - **Example:** Exostar

Private Industrial Networks

- **Digital network used to coordinate among firms engaged in business together**
- **Typically evolve out of company's internal enterprise system**
- **Example:** Walmart's network for suppliers
- **Cost absorbed by network owner and recovered through production and distribution efficiencies**

E-commerce Enablers: The Gold Rush Model

- **E-commerce infrastructure companies have profited the most:**
  - Hardware, software, networking, security
  - E-commerce software systems, payment systems
  - Media solutions, performance enhancement
  - CRM software
  - Databases
  - Hosting services, and so on

How E-commerce Changes Business

- **E-commerce changes industry structure by changing:**
  - Rivalry among existing competitors
  - Barriers to entry
  - Threat of new substitute products
  - Strength of suppliers
  - Bargaining power of buyers

Industry Value Chains

- **Set of activities performed by:-**
  - suppliers,
  - manufacturers,
  - transporters,
  - distributors, and
  - retailers
  - that transform raw inputs into final products and services
- **Internet reduces cost of information and other transactional costs**
- **Leads to greater operational efficiencies, lowering cost, prices, adding value for customers**

E-commerce and Industry Value Chains

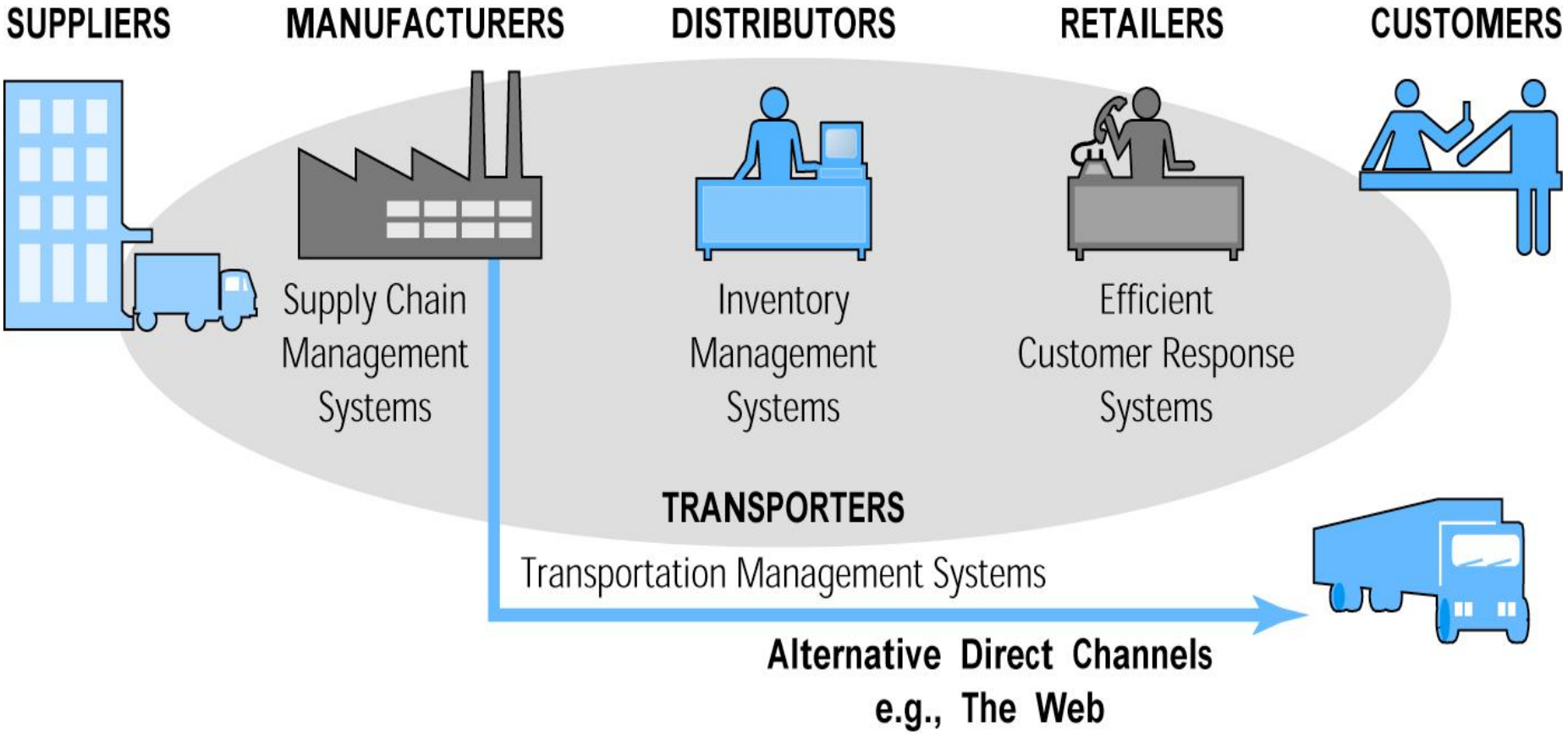


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Firm Value Chains

- **Activities that a firm engages in to create final products from raw inputs**
- **Each step adds value**
  - What are effect of Internet:
    - Increases operational efficiency
    - Enables product differentiation
    - Enables precise coordination of steps in chain

E-commerce and Firm Value Chains

Administration
Human Resources
Information Systems
Procurement
Finance/Accounting

SECONDARY ACTIVITIES

PRIMARY ACTIVITIES



Inbound Logistics | **Operations** | **Outbound Logistics** | **Sales and Marketing** | **After Sales Service**

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Firm Value Webs

- Networked business ecosystem
- Uses Internet technology to coordinate the value chains of business partners
- Coordinates a firm's suppliers with its own production needs using an Internet-based supply chain management system

Internet-enabled Value Web

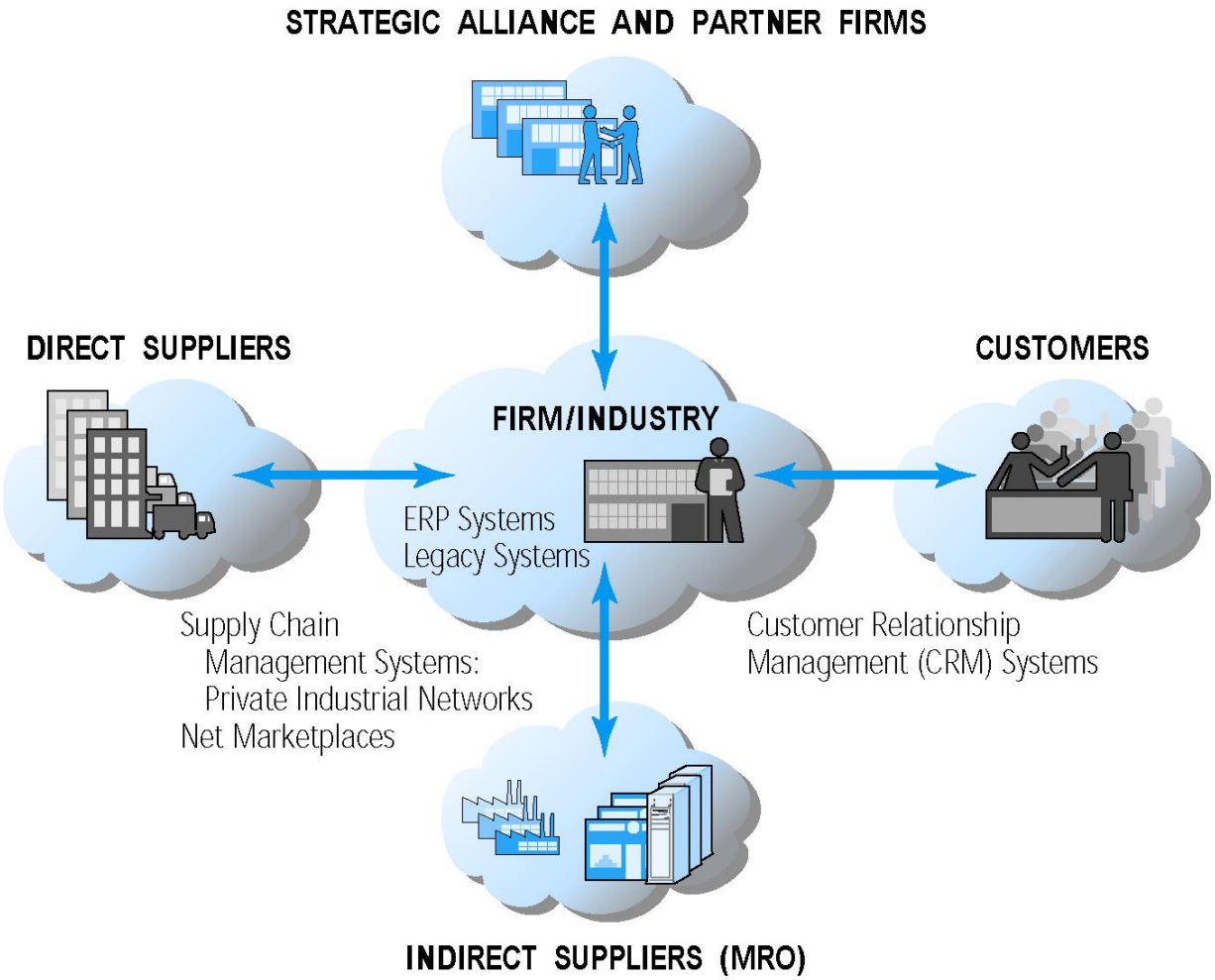


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Business Strategy

- **Plan for achieving superior long-term returns on capital invested: that is, profit**
- **Five generic strategies**
  - Product/service differentiation
  - Cost competition
  - Scope
  - Focus
  - Customer intimacy